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Market Commentary

WEEKLY PERSPECTIVE ON CURRENT MARKET SENTIMENT

May Employment Report: Goldilocks Should Be Jealous

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Last Week's S&P 500 Index: 0.5%

Key takeaways

- *The labor market continues to improve and wage gains remain modest as last Friday's employment report showed.*
- *The tighter labor market is not negatively affecting elevated corporate profit margins and modest wage gains are putting more spending money in the pockets of consumers.*

If you look back over the last 30 years, there have been a few periods when economic growth was pretty good and inflation and unemployment were low. Periods like this are frequently referred to as a "Goldilocks economy." Not too hot to cause inflation to rear its ugly head and not so cold that the economy is on the verge of slipping into a recession. In other words, everything is just right (or close to it). We would argue that over the last couple of years economic conditions here at home have been moving toward that enviable state. Certainly there are differences, and, of course, everything is not perfect. But they rarely are.

The goal of the Federal Reserve (Fed) is to use monetary policy to, ideally, consistently produce a Goldilocks economy. Full employment and low inflation are the Fed's dual mandates. These two goals can butt heads from time to time. In contrast, the European Central Bank (ECB) has just one mandate: price stability. But the Fed also wants to see some decent economic growth. And yes, it is tough to fine-tune a nearly $19 trillion economy, as any central banker would attest. But right now, this strategist is not complaining. The market, on the other hand, while rallying in recent weeks, has gone through bouts of concern since the beginning of February. Those worries are about the possbility that the Fed is going to get an itchy trigger finger and push interest rates up at a faster pace than what equity investors are already pricing in. We continue to believe that the Fed is properly guiding the market to a total of three rate hikes this year and approximately the same number in 2019.

So what does this have to do with last Friday's release of the May employment report? Consensus expectations called for 190,000 net new non-farm payroll jobs having been created last month. The actual number created totaled 223,000. In addition, average hourly earnings increased 2.7% over the prior 12-month period—a touch more than expected. The Fed keeps a close eye on employment data when making monetary policy decisions. Historically, especially later in an economic cycle, a "tight" labor market has often led to meaningful wage increases, which then translated into profit margin pressure for corporations. Keep in mind that for most businesses, compensation is the biggest expense item.

But that is not what the May employment report showed. There were more jobs created than the market expected, but wage gains were not excessive. That's good for keeping corporate profit margins at elevated levels and good for the economy overall. The report showed that American consumers are seeing modest wage gains, and more jobs mean more people with money in their pockets ready to spend. And consumer spending is what drives the American economic bus. So things in the U.S. appear to be shaping up. We see corporate earnings and stock prices at or close to record highs by year-end. We expect wage growth to stay modest for now and the labor market to continue to improve. We do not look for an overly aggressive Fed. That sounds pretty good to this strategist. Right now, in terms of the labor market and based on last week's employment report, Goldilocks should be jealous.

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